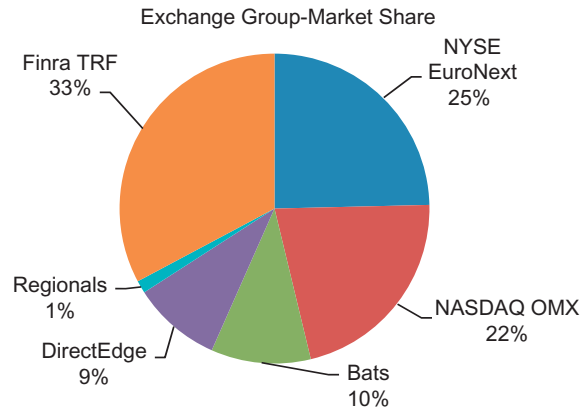




■ Figure 2.1 Market Share.

share volume. Bats and DirectEdge are third and fourth, respectively. For the period analyzed we found Bats with 10.4% and DirectEdge with 9.3% of stock share volume. DirectEdge and Bats have been pretty consistent with each having about 9%–10% of total market share. The regional exchanges, surprisingly, only account for about 1.3% of total share volume. Finra TRF volume consists of the dark pools and crossing networks matches including both third party networks and internal broker dealing crossing systems. These trades account for about 33% of total share volume traded in the market (Figure 2.1).

Large and Small Cap Trading

NYSE listed large cap (LC) stocks account for a much larger percentage of market share than NYSE listed small cap (SC) stocks. NYSE LC stocks account for 77% of market volumes and NYSE SC stocks account for about 23% of market volumes. The breakdown of NASDAQ market share is not as skewed for large cap as it is for NYSE stocks. NASDAQ large cap stocks account for 52% of the market volume and NASDAQ small cap stocks account for 48% of the market volume. It is important to point out that there is not a difference across exchange. The NYSE trades more volume in large cap compared to small cap, and vice versa for NASDAQ. Historically, the smaller, less established companies would list on the NASDAQ exchange and would often migrate to the NYSE exchange as they grew and matured. This trend, however, is beginning to change, as we see some large cap NYSE listed companies moving to the NASDAQ exchange. For example, Texas Instruments (Dec. 2011) and Kraft (Jun. 2012) moved from the NYSE to NASDAQ.